

## **Chapter 10: Review of Nepalese Economy**

### **Review of Nepalese Economy**

Nepal is one of the least developed countries in the world with very low per capita income and mass poverty. The structure of the economy is fragile; the economic environment is not favourable; performance of the economy is weak, and development indicators are unfavourable. The economic problems and development challenges are increasing one after another. The economy has mainly been characterized by a long period of political transition and uncertain economic environment. Because of such various socio-economic and political obstacles, there is high rate of unemployment, inequality and poverty in the country.

### **Contemporary Features of Nepalese Economy**

The contemporary features of Nepalese economy are as follows:

1. Low per capita income
2. Mass poverty
3. Excessive dependence on agriculture sector
4. Under utilization of natural resources
5. High trade deficit
6. Dualistic and mixed economic system
7. High population growth
8. Remittance economy

### **Macroeconomic Indicators of the Federal State and Seven Provinces of Nepal**

*The major macroeconomic indicators of the federal state of Nepal are as follows:*

1. Gross Domestic Product (GDP)
2. Gross National Product (GNP)
3. Per capita income (Per capita GNI)
4. Rate of inflation
5. Trade Balance
6. Public Debt

*The major macroeconomic indicators of seven provinces of Nepal are as follows:*

1. Size of province-level Gross Domestic Product
2. Growth rate of GDP by province
3. Per-capita income by province
4. Unemployment rate by province

## 5. Province-wise budget and status of expenditure